

Brazil → China Lane — Focus: Oscar's Farm Beans (Bahia)

Prepared for: Elizabeth Wong

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Prepared by: Gary Teh, TrueSight DAO

The Concern

Elizabeth's focus is not the current Brazil→San Francisco freight, but the **upcoming Brazil→China freights** — specifically the beans from **Oscar's farm in Bahia**. This note addresses the path for that specific supply.

The Black King Infrastructure Issues (current state — in detail)

Black King (Matheus Reis Pereira, CNPJ 50.042.585/0001-80) has been our de facto export vehicle — the entity through which we sourced from Bahia **and** from regions without a factory (e.g., Pará). Its infrastructure is currently broken on **multiple concurrent fronts**:

1. **CNPJ cadastral status: "INAPTA"** — flagged 2026-06-08 by Receita Federal for **omission of declarations** (2+ consecutive years of missed DCTF/ECF/ECD filings). This is the master blocker: an Inapta CNPJ cannot issue NF-e, and its RADAR/SISCOMEX habilitation is at risk of suspension
2. **e-CNPJ digital certificate EXPIRED** (early June 2026) — without a valid certificate, Matheus cannot access e-CAC, SISCOMEX, or SEFAZ-BA portals at all
3. **Missing commerce CNAE** — the CNPJ's main CNAE is 82.30-0-01 (feiras/exposições — a service activity) with no commerce/export activity code, which blocks Inscrição Estadual (IE) and NF-e credentialing at SEFAZ-BA
4. **Outstanding federal tax debts** — unpaid invoices/DARF and missed declarations; the exact amounts are being pulled via e-CAC (Situação Fiscal) and REGULARIZE (Dívida Ativa)
5. **RADAR misconception** — a freight partner suggested RADAR "changes the CNPJ to APTO"; this is backwards under RFB rules. The CNPJ must be **Ativa** to obtain and keep RADAR, not the other way around
6. **Unprofessional accounting** — Matheus's current accountant was doing Agroverse "as a favor" and has not been managing the company properly (this is how the declarations lapsed); he has said the situation should clear "Friday to Monday" but has not delivered
7. **Local legal-representative requirement** — Brazilian law requires a local legal representative for the export entity; finding a reliable one (Paloma is engaged but skittish) is part of the fix

Remedies Currently Being Sought — Bringing Black King Back Online

#	Remedy	Status
1	New export-savvy accountant — Vini is sourcing one to replace Matheus's current accountant (~USD 1,000–2,000/yr)	■ In progress
2	File missed declarations (DCTF, ECF, ECD, DAS) via e-CAC → CNPJ exits "Inapta"	■ Once accountant engaged
3	Renew the e-CNPJ certificate (ICP-Brasil, A1/A3) — needed for all federal/state portals	■ Via certificadora
4	Add commerce CNAE → obtain IE → NF-e credentialing at SEFAZ-BA	■ After declarations filed
5	Settle/negotiate federal debts — parcelamento or transação tributária (up to 65–70% discount) via REGULARIZE	■ Amounts being confirmed
6	Trading-company bridge — freight forwarder checking cost of "por conta e ordem" export to move independent warehouse stock	■ Cost check in progress
7	Gary's own gov.br (Br.Gov) identity — registered; e-CPF certificate being arranged (Ouro tier) so he can help administer Black King's federal affairs via Procuração Eletrônica	■ In progress
8	Ltda transformation option — convert Black King from Empresário Individual (213-5) to Sociedade Limitada (206-2), enabling a formal administrator/quotaholder role and killing the single-point-of-failure	■ Decision doc prepared (with Vini)

Objective: restore Black King to a fully operational exporter — CNPJ "Ativa", valid certificates, correct CNAE, IE + NF-e capability — so the existing supply chain (including independent farmers and Pará flows) can resume.

Oscar's Beans: Status Within the Current (Black King) Structure

- **Oscar's Farm** is in Bahia — within the region where **Coopercabruca** operates
- Oscar appears in our current shipments as a supplier (e.g., [AGL14] lot: Cacao Almonds, Bahia)
- **Oscar has been invited into the cooperative and has linked up with Orlantides** ■ — this keeps his beans inside a compliant structure while Black King is being repaired

The China Lane Need Not Wait for Black King

The China side can actually bypass the DAO as the middleman without waiting for the situation with Black King to get resolved.

- Oscar is already inside the cooperative structure (linked with Orlantides), and Coopercabruca is already getting its **MAPA registration** ready for China
- The cooperative route requires **no dependency on Black King's CNPJ** — Coopercabruca holds its own CNPJ, IE, NF-e capability, and (soon) MAPA + GACC credentials
- So China can proceed **directly with Orlantides / Coopercabruca now**, dealing only with cacao beans from Bahia (member farmers, freshly harvested / still with the farmer) — while Black King's repair runs in parallel for the independent-farmer and Pará flows it uniquely serves
- Structurally, in that direct route, **Gary Teh and the DAO are not involved in the trade** — the DAO is not a required middleman for the China lane

Worst Case Scenario — If Black King Cannot Be Re-Established

If Black King's CNPJ cannot be brought back to "Ativa" (the Inapta status, expired certificates, and outstanding tax situation unresolved), the consequences are:

1. **Independent consolidated beans are stranded** — the inventory in Matheus's warehouse, sourced from independent farmers across Bahia and Pará (outside any cooperative), cannot be exported. A write-off of that stock is the realistic outcome
2. **No NF-e / no export via Black King** — without a healthy CNPJ, Black King cannot issue the export NF-e, so nothing moves through that channel
3. **CEPOTX (Pará) bean flow is blocked** — CEPOTX sends its beans to Matheus for processing; if Black King is down, that processing arrangement breaks. As a consequence, **the tree-planting arrangement tied to that flow is also off the table**
4. **The USA and European DAO-based distribution networks will be shut down** — the DAO has no more capital for stock inventory to channel cacao down the Coopercabruca → San Francisco route (nor to support the European side). The distribution network winds down
5. **The China lane still proceeds** — because China can work **directly with Orlantides / Coopercabruca**, the China lane does not depend on Black King's restoration; the direct route (with the DAO not involved) can proceed on its own timeline
6. **Structurally, Gary Teh and the DAO are not involved in that trade** — the China side works directly with the Brazilian cooperative (Orlantides/Coopercabruca), with the cooperative holding MAPA + GACC and exporting under its own credentials

Bottom line for the worst case: the China lane for Oscar's beans is protected via the **direct cooperative route** — which can proceed **now, without waiting for Black King**, and with the DAO structurally out of the trade. The exposure from Black King's failure is: stranded independent warehouse inventory, the blocked CEPOTX bean flow (which also takes the tree-planting arrangement off the table), and the **wind-down of the USA and European DAO-based distribution networks** due to lack of capital for stock inventory.

Summary

Question	Answer
Can Oscar's beans go to China?	■ Yes — via Black King (primary) or Coopercabruca (direct)
Primary path?	Black King infrastructure repair (remedies 1–8 above)
Does the China lane have to wait?	■ No — China can bypass the DAO and deal directly with Coopercabruca now
What gates the first China shipment?	Black King re-established, OR Coopercabruca's MAPA → GACC/CIFER (3–6 months)
What happens to independent warehouse stock?	Stranded / write-off if Black King can't be restored
What happens to CEPOTX (Pará)?	Bean flow blocked; tree-planting arrangement off the table
What happens to the US/EU DAO distribution network?	Shut down — no DAO capital for stock inventory

The **primary objective is to bring Black King back online** — that preserves the existing supply chain, the independent-farmer coverage, and the Pará flows. But the **China lane does not have to wait**: it can proceed directly with Orlantides/Coopercabruca, bypassing the DAO as middleman, on its own timeline.